Weekly Rates Report: June 01 – June 05

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June 07, 2026

From Tehran Headlines to Nonfarm Payrolls: Bonds Remain Under Pressure

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Summary

Market Overview

Markets experienced another volatile week, with global bond markets continuing to react to the latest headlines out of Tehran and Washington. As has been the case since the beginning of the conflict, duration remained largely a function of inflation expectations driven by fluctuations in energy prices. Every sign of a potential diplomatic breakthrough between the United States and Iran triggered a decline in oil prices and a rally in government bonds, while renewed military escalations, threats or hostile rhetoric quickly reversed those moves as investors reassessed the inflationary implications of higher energy costs.

Beyond geopolitics, another driver of the global rates sell-off this week came from the release of key US economic data. The May Nonfarm Payrolls report significantly exceeded expectations, confirming once again the resilience of the US labour market. Combined with stronger-than-expected JOLTS, ADP employment figures and solid ISM surveys, the data reinforced the view that the US economy remains remarkably robust despite heightened geopolitical uncertainty.

The implications for monetary policy expectations have been substantial. While markets were pricing more than 50bps of Fed easing before the escalation of tensions in the Middle East, investors are now close to pricing a full rate hike by year-end. The resilience of employment has effectively removed any near-term case for monetary easing, while rising energy prices continue to pose upside risks to inflation.

The week was also particularly busy on the macroeconomic front outside the United States. In Europe, the picture remains significantly weaker. While manufacturing activity surprised to the upside and moved further into expansionary territory in several countries, services and composite PMIs, despite beating expectations, remain consistent with a sluggish growth environment and continue to point to contraction in key economies such as France. This weakness was further illustrated by the sharp downward revision to Eurozone Q1 2026 GDP growth, from 0.8% to 0.3%, as well as a rise in the unemployment rate to 6.3% in April.

Against this backdrop, all eyes now turn to next week's ECB meeting. The Governing Council is widely expected to deliver a 25bp rate hike, making the ECB the first major central bank to tighten policy since the outbreak of the conflict. However, the focus will be less on the decision itself than on President Lagarde's guidance regarding the path beyond June. Markets will closely monitor any discussion surrounding second-round inflation effects, wage dynamics, growth risks and the duration of the energy shock. While a further rate increase later this year remains possible, much will depend on the evolution of the conflict and the persistence of inflationary pressures.

In Japan, bond markets remained driven by the same combination of geopolitical developments and domestic monetary policy expectations. Discussions surrounding the future of the BoJ's quantitative tightening programme continued throughout the week, with several market participants advocating a slower pace of balance sheet reduction. At the same time, rising energy prices and persistent inflationary pressures have strengthened expectations that the BoJ may eventually need to continue normalising policy rates. The central bank therefore faces an increasingly delicate balancing act between containing inflation and preserving an economic recovery that remains fragile despite improving growth data.

Overall, the combination of persistent geopolitical tensions, resilient US economic data and growing concerns over energy-driven inflation kept upward pressure on global yields throughout the week. While day-to-day price action continues to be dictated by developments in the Middle East, the underlying macroeconomic backdrop, particularly in the United States, remains inconsistent with the aggressive easing expectations that prevailed only a few months ago.

US

➢ ***Major Economic Data Releases – Week of June 01***

Date	Indicator Name	Period	Reuters Poll	Actual	Prior
01 June	ISM Manufacturing PMI	May	53	54	52.7
03 June	ISM Services PMI	May	53.8	54.5	53.6
03 June	Factory Orders MoM	April	4.6%	4.8%	1.5%
04 June	Initial Jobless Claims	25-30 May	213K	225K	212K
05 June	Non-Farm Payrolls	May	85K	172K	115K
05 June	Unemployment Rate	May	4.3%	4.3%	4.3%

Source: Reuters

➢ ***Macro Developments & Key Indicators***

US economic data took centre stage this week and reinforced the view that the economy remains on a solid footing despite heightened geopolitical uncertainty and rising energy prices.

The labour market was the main focus. While weekly Initial Jobless Claims came in above expectations and pointed to a modest softening in labour market conditions, the broader picture remains one of remarkable resilience. Earlier in the week, JOLTS job openings surprised to the upside, followed by stronger-than-expected ADP employment figures. Friday's Nonfarm Payrolls report then provided the strongest signal yet, with employers adding 172k jobs in May, well above consensus expectations, while the unemployment rate remained unchanged at 4.3%. Taken together, these releases suggest that labour demand remains healthy and that fears of a material slowdown in employment conditions have yet to materialise.

Economic activity indicators also continued to paint a constructive picture. Both the ISM Manufacturing and ISM Services PMIs surprised to the upside in May, highlighting the resilience of business activity despite growing geopolitical uncertainty. The Federal Reserve's Beige Book delivered a similar message, showing that economic activity expanded modestly across most districts, while also noting that higher energy prices were increasingly being felt by businesses and consumers.

Against this backdrop, markets continued to reassess the outlook for Federal Reserve policy. The combination of resilient growth, a robust labour market and renewed upside inflation risks linked to higher energy prices has led investors to significantly scale back expectations for monetary easing. Prior to the escalation of tensions in the Middle East, markets were pricing more than 50bps of rate cuts this year. Following the latest economic releases and the sharp rise in oil prices, investors are now close to pricing a full rate hike by year-end.

Federal Reserve officials also maintained a cautious tone throughout the week. Cleveland Fed President Hammack reiterated that policymakers may need to act "soon" should inflationary pressures continue to build, reinforcing the market's perception that the Fed remains more concerned about inflation risks than downside growth risks at this stage.

Looking ahead, next week's CPI report will be the key event for rates markets. Investors will closely monitor whether higher energy prices are beginning to feed through to broader inflation measures. With growth indicators holding up well and labour market conditions remaining firm, any upside surprise could further reinforce the recent repricing of Fed expectations and keep upward pressure on Treasury yields.

➢ *Rates Curve Movements*

- US cash and swap curves bear-flattened, with the cash 2s10s flattening by 6.5bps and the swap 2s10s by 5bps

- Swap spreads richened across the curve, led by the belly and long end, with the 10Y swap spread widening by 2.2bps

- The cash 2s5s10s fly cheapened by 3.1bps

➢ *Trade ideas*

I continue to favour a **long US 10s30s steepener**, even though the entry point has admittedly not been ideal.

The escalation of the conflict with Iran has temporarily shifted market attention toward geopolitical risks, higher energy prices and potential inflationary spillovers. However, the limited reaction in long-term inflation expectations, with the US 5y5y forward CPI breakeven remaining broadly stable around 2.50%, suggests that investors do not expect a lasting change in the medium-term inflation outlook.

Looking ahead, I expect market focus to gradually shift back toward US fiscal fundamentals once tensions in the Middle East begin to ease. The combination of rising public debt, persistent fiscal deficits and heavy Treasury issuance should continue to exert upward pressure on long-end yields through a higher term premium.

In addition, repeated attacks on Gulf infrastructure and the perception of a less reliable US security umbrella could encourage some reserve managers in the region to diversify part of their allocations away from US Treasuries, reducing a traditional source of structural demand for long-dated bonds.

While the geopolitical backdrop has delayed the catalyst, I continue to see the long end as the most exposed part of the curve once fiscal concerns regain prominence. As a result, I remain constructive on a long 10s30s steepener, with the 30Y sector likely to come under greater pressure than the 10Y sector.

Canada

➢ *Major Economic Data Releases – Week of June 01*

Date	Indicator Name	Period	Reuters Poll	Actual	Prior
01 June	S&P Manufacturing PMI	May	N/A	52.9	53.3
05 June	Unemployment Rate	May	6.9%	6.6%	6.9%

Source: Reuters

➢ *Macro Developments & Key Indicators*

Canadian markets were primarily influenced by developments in energy markets this week, as rising oil prices linked to tensions in the Middle East added a new layer of complexity to the Bank of Canada's policy outlook.

While higher energy prices have contributed to an increase in headline inflation, the broader economic backdrop remains relatively weak. Canada entered a technical recession during the previous quarter, and although inflation accelerated to 2.8% in April from 2.4% in March, underlying inflation measures continue to suggest subdued domestic demand. This combination of sticky headline inflation and lacklustre growth leaves the Bank of Canada facing a challenging trade-off between inflation risks and economic weakness.

Against this backdrop, economists overwhelmingly expect the Bank of Canada to keep its policy rate unchanged at 2.25% at next week's meeting and throughout the remainder of the year. Having already delivered 275bps of rate cuts between June 2024 and October 2025, policymakers appear comfortable maintaining a wait-and-see approach while assessing the impact of higher energy prices on inflation and economic activity.

Labour market data nevertheless provided some encouragement. Employment growth surprised to the upside in May, offering a positive signal for an economy that has struggled to regain momentum in recent quarters. While a single release is unlikely to materially alter the Bank of Canada's policy stance, stronger labour market conditions could help alleviate concerns over the depth and duration of the current economic slowdown.

Looking ahead, markets will remain focused on the Bank of Canada's communication regarding the balance between inflation risks stemming from higher energy prices and the still-fragile state of domestic demand. For now, policymakers appear inclined to look through the energy-driven inflation shock and prioritise supporting economic activity, provided underlying inflation pressures remain contained.

➢ *Rates Curve Movements*

- The Canadian curve outperformed its US counterpart across most maturities, with the exception of the long end. US-Canada spreads widened by 6.0bps in 2Y and 2.3bps in 10Y maturities

➢ *Major Economic Data Releases – Week of June 01*

Date	Indicator Name	Period	Reuters Poll	Actual	Prior
01 June	S&P Manufacturing PMI (FRA)	May	48.9	49.7	48.9
01 June	S&P Manufacturing PMI (GER)	May	49.9	50.1	49.9
01 June	S&P Manufacturing PMI	May	51.4%	51.6	51.4
01 June	Unemployment Rate	April	6.2%	6.3%	6.2%
02 June	HICP YoY (flash)	May	3.2%	3.2%	3%
02 June	HICP Core YoY (flash)	May	2.4%	2.5%	2.2%
03 June	S&P Services PMI (FRA)	May	42.9	44.3	42.9
03 June	S&P Composite PMI (FRA)	May	43.5	44.9	43.5
03 June	S&P Services PMI (GER)	May	47.8	48.1	47.8
03 June	S&P Composite PMI (GER)	May	48.6	48.8	48.6
03 June	S&P Services PMI	May	46.4	47.7	46.4
03 June	S&P Composite PMI	May	47.5	48.5	47.5
05 June	GDP Revised YoY	Q1	0.87%	0.3%	0.8%

Source: Reuters

➢ *Macro Developments & Key Indicators*

Like other major government bond markets, Eurozone sovereign bonds spent the week reacting to developments surrounding the conflict in the Middle East. Hopes of a potential diplomatic breakthrough between the United States and Iran periodically supported EGBs through lower oil prices and easing inflation concerns, while renewed military escalations triggered the opposite reaction. Despite these fluctuations, Eurozone yields ultimately moved higher over the course of the week, largely following the upward repricing seen in US rates markets.

Beyond geopolitics, the week's economic data continued to highlight the fragile state of the Eurozone economy. While manufacturing PMIs surprised to the upside across several countries and moved further into expansionary territory, the broader growth picture remains far from reassuring. Services and composite PMIs also exceeded expectations but continue to point towards a weak economic environment, particularly in France where activity remains in contraction territory.

Additional data reinforced this cautious assessment. Eurozone unemployment edged higher to 6.3% in April from 6.2% previously, while first-quarter 2026 GDP growth was sharply revised lower to 0.3% from 0.8%. Taken together, these releases suggest that the Eurozone economy remains considerably more vulnerable than the US economy and is entering this latest energy shock from a weaker starting point.

At the same time, inflation remains a growing concern for policymakers. Flash HICP inflation rose to 3.2% in May from 3.0% previously, while core inflation accelerated to 2.5% from 2.2%. Although both figures were broadly in line with expectations and therefore had only a limited market impact, they nevertheless reinforce the view that the ECB cannot ignore the inflationary consequences of higher energy prices.

Attention now turns to next week's ECB meeting, which is widely expected to result in a 25bp rate hike. While the decision itself appears fully priced by markets, investors will be far more interested in President Lagarde's guidance regarding the path beyond June. In particular, markets will be looking for clues on how policymakers assess the risk of second-round inflation effects, the outlook for wage growth and the trade-off between rising inflation and a weakening growth backdrop.

The ECB therefore finds itself in a particularly delicate position. Unlike the United States, where economic momentum remains robust, Eurozone policymakers must confront rising inflation pressures while growth indicators continue to deteriorate. As a result, the debate is increasingly shifting from next week's decision to the extent of any further tightening later this year, with much depending on the duration of the conflict, the evolution of energy prices and the resilience of the Eurozone economy in the months ahead.

➢ *Rates Curve Movements*

- The 10Y Bund yield rose 10.5bps on the week to close at 3.04%
- German curves bear-flattened, with the 2s10s and 10s30s segments flattening by 5.2bps and 2.9bps respectively
- Peripheral spreads widened across the EGB complex, with Italy once again behaving as a high-beta expression of geopolitical risk. The 10Y BTP-Bund spread widened by 3.9bps. A similar dynamic was observed in the core/semi-core space, where France notably underperformed, with the 10Y OAT-Bund spread widening by 3.7bps
- Swap spreads cheapened across the curve, led by the long end, with the Buxl asset swap spread tightening by 3.2bps

➢ *Trade ideas*

I remain constructive on France as a medium to long-term relative value theme, although I do not believe the current environment offers an attractive entry point.

In the near term, any de-escalation of the US-Iran conflict would likely trigger a rally in global duration, making short positions on the French long end vulnerable. For that reason, I would wait for a better entry level before expressing the trade.

My core view is that, once geopolitical tensions fade, fiscal concerns will return to the forefront of market pricing. While Germany's fiscal expansion has attracted significant attention, Berlin starts from a much stronger fiscal position and does not appear likely to concentrate issuance in the ultra-long end. As a result, the Bund long end may remain largely driven by structural demand and flow dynamics.

France appears particularly vulnerable given the growing possibility of a Rassemblement National victory in 2027. While the party's fiscal program remains relatively unclear, markets may increasingly question its willingness to adhere to European fiscal rules and pursue meaningful deficit reduction. In that scenario, investors could start demanding a higher fiscal risk premium on French debt, particularly at the long end where future supply concerns would be felt most acutely.

In this context, I would expect the French long end to underperform as investors demand a higher fiscal risk premium and price in greater long-dated issuance pressure.

The cleanest expression of this view is, in my opinion, a **long OAT 10s30s steepener vs Bund 10s30s**. Alternatively, one could express the trade through a **short position in the OAT 30Y sector on asset swaps**.

UK

- ***Major Economic Data Releases – Week of June 01***

Date	Indicator Name	Period	Reuters Poll	Actual	Prior
01 June	S&P Manufacturing PMI	May	53.7	53.9	53.7
03 June	S&P Composite PMI	May	48.5	49.7	48.5
03 June	S&P Services	May	N/A	48.7	51.5

Source: Reuters

- ***Macro developments & Key Indicators***

UK government bonds were not immune to the global rates sell-off this week, with Gilt yields moving higher alongside their international counterparts as markets continued to react to developments surrounding the conflict in the Middle East and the resulting implications for energy prices and inflation.

However, Gilts proved relatively resilient compared to some of their European peers. While UK rates have historically tended to behave as a high-beta market during periods of energy-related stress, similarly to Italy given the UK's sensitivity to energy price shocks, this dynamic was notably absent this week. Despite higher yields overall, Gilts outperformed Bunds across most segments of the curve and failed to exhibit the degree of underperformance that might typically have been expected given the geopolitical backdrop.

From a macroeconomic perspective, this week's data generally painted a constructive picture. Manufacturing activity surprised to the upside in May, with the PMI rising both relative to expectations and the previous month while remaining firmly in expansionary territory. Although the Services PMI remained marginally below the 50 threshold, indicating a slight contraction in activity, the Composite PMI moved close to expansion territory, suggesting that overall economic momentum remains relatively resilient.

- ***Rates curve movements***

  - Cross-market spreads versus Germany tightened, with the Gilt-Schatz spread narrowing by 3.1bps and the 10Y Gilt-Bund spread narrowing by 1.2bps.

  - The 2s10s30s swap fly richened by 4.9bps.

Japan

➢ ***Major Economic Data Releases – Week of June 01***

Date	Indicator Name	Period	Reuters Poll	Actual	Prior
01 June	S&P Manufacturing PMI	May	N/A	54.5	54.5
03 June	S&P Composite PMI	May	N/A	51.1	51.1
03 June	S&P Services	May	N/A	50	50

Source: Reuters

➢ ***Macro developments & Key Indicators***

Japanese government bonds broadly followed the same geopolitical narrative as their global counterparts this week.

A key theme throughout the week was the ongoing debate surrounding the Bank of Japan's policy normalisation process. While rising oil prices have added to inflationary pressures and strengthened the case for further policy tightening, policymakers remain mindful of the risks posed to an economy that remains heavily dependent on energy imports. This tension continues to complicate the BoJ's task as it seeks to balance inflation risks against a still-fragile growth backdrop, despite stronger-than-expected first-quarter GDP growth.

BoJ Governor Kazuo Ueda struck a relatively hawkish tone during the week, reiterating that the central bank would need to assess the benefits and costs of additional rate hikes should upside inflation risks begin to outweigh downside risks to growth. His comments contributed to a sell-off in shorter maturities as investors reassessed the outlook for future policy tightening.

Beyond the broader policy debate, supply dynamics also played an important role this week. The 10-year sector was a notable outperformer following Tuesday's auction, which attracted strong investor demand and triggered additional buying interest in the secondary market immediately after allocation. The rally in the benchmark sector was sufficiently pronounced that some investors subsequently took profits the following day, contributing to an underperformance of the 10-year maturity on Wednesday. Despite this reversal, the benchmark 10-year yield ended the week broadly unchanged, illustrating the offsetting effects of strong auction demand and subsequent profit-taking flows.

Meanwhile, discussions surrounding the future of the BoJ's quantitative tightening programme continued to attract significant attention. Feedback gathered from market participants suggested growing support for a slower pace of balance sheet reduction beyond 2027, with many arguing that the BoJ's balance sheet would continue to shrink naturally through maturing bond holdings. More broadly, investors remain concerned that combining further rate hikes with an overly aggressive reduction in bond purchases could result in an excessive rise in yields and unnecessary volatility across the JGB market. These discussions reinforced expectations that policymakers may favour a gradual approach to quantitative tightening, even as further policy rate normalisation remains under consideration.

The ultra-long end, continued to find support from reduced issuance and easing concerns regarding fiscal deterioration following recent announcements surrounding the size of Japan's supplementary budget. As a result, long-end supply concerns that had weighed heavily on the market earlier this year have gradually started to recede.

➢ ***Rates curve movements***

- The JGB curve underwent a twist flattening, with the 2s30s segment flattening by 7bps, driven by a 4.6bps rise in 2Y yields and a 2.4bps decline in 30Y yields.
- JGBs outperformed on a cross-market basis across the curve, with the 10Y JGB-Bund spread narrowing by 9.6bps and the 10Y JGB-Treasury spread narrowing by 7.4bps.
- Swap spreads richened across the curve, with the 10Y JGB swap spread widening by 2.4bps and the 30Y swap spread widening by 5bps.

Appendix

All figures referenced in the commentary are sourced from Reuters, primarily via the Excel file presented below, which is linked using Reuters formulas. As this is based on the student version of the Reuters Terminal, some quotations may be slightly inaccurate, particularly within the European core and semi-core segments. As a result, movements in the yield curves (2Y, 5Y, 10Y, 30Y) may occasionally appear strange.

Data corresponds to bid prices as of market closing on Friday, May 25 and Friday, May 29.